Temporary respite: on GST, India's manufacturing

India's growth strategy must focus on boosting domestic consumption

India's Goods and Services Tax **collection** in April, since the **indirect taxation framework** was implemented in 2017, **has** consistently hit record highs. This April was no different — generally because of businesses **tallying** their books and completing their financial year-end tax commitments. The gross GST collected this time was about ₹2.37 lakh crore, **marking** an on-year growth of 12.6% from last April. After refunds, the central government **netted** over ₹2.09 lakh crore, an on-year rise of 9.1%. This also **signifies** a **marked** rise in GST **compliance**, also **aided** by faster refunds, which are crucial for small businesses as they work with **thin working capital**, and the mass **adoption** of fintech. The fintech adoption **rate** in India, at 87%, which is well above the global average, and aided by the **insular** COVID-19 years of 2020-21, **has** brought in millions from the MSME sector into the formal banking system, enabling better tax compliance and regulatory **supervision**. Wider compliance is also **evident** from April's GST collections from 2018 to 2025, which has more than doubled from ₹1.03 lakh crore to ₹2.37 lakh crore.

What is significant this April has been the 86% rise in refunds issued to exporters and the 20.8% increase in GST revenues from imports. This **correlates** with the 10-month high growth in the April print of HSBC India Manufacturing Purchasing Managers' Index (PMI). The PMI rose from 58.1 in March to 58.2 in April. The survey indicated a sharp rise in new business aided by greater international demand. Orders from abroad grew to the largest degree in over 14 years in the first month of the 2026 **fiscal year**, with demand led by Africa, Asia, Europe, West Asia and the Americas. This suggests that businesses have **scrambled** to get their orders in before the 90-day pause on tariffs by the U.S. ends on July 9. It also suggests a possible **re-alignment** in supply chains, with greater sourcing from India, as the U.S. **tariffs** on China **appear** to be more **onerous** and certain, with the possibility of **trans-shipment** goods from China being taxed, without a high value-add **threshold**. Apple has said at its January-to-March quarterly earnings call that it intends to source 'most of its iPhones' for the U.S., its largest market, from India. This suggests a temporary respite for India's manufacturing sector, which **witnessed** a four-year growth low at 4% in the last fiscal. A more **durable** growth strategy would be to boost domestic consumption and **wrangle** favourable **concessions** for its manufacturing sector from the many ongoing trade agreements. **[Practice Exercise]**

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

1. **Respite** (noun) – break, pause, relief, breather, hiatus राहत
2. **Indirect taxation** (noun) – the levying of tax on goods and services rather than income or profits. अप्रत्यक्ष कर
3. **Framework** (noun) – structure, system, outline, scheme, setup ढांचा
4. **Tally** (verb) – count, calculate, compute, reconcile, tabulate हिसाब करना
5. **Mark** (verb) – indicate, denote, signify, represent, show सूचित करना
6. **Net** (verb) – earn, gain, collect, receive, acquire प्राप्त करना
7. **Signify** (verb) – indicate, mean, express, denote, suggest दर्शाना
8. **Compliance** (noun) – adherence, conformity, obedience, observance, agreement अनुपालन
9. **Aid** (verb) – assist, help, support, facilitate, promote सहायता करना
10. **Thin working capital** (noun) – a situation where a business has a limited amount of cash and liquid assets to cover its immediate short-term obligations सीमित परिचालन पूंजी
11. **Adoption** (noun) – acceptance, implementation, embracing, usage, application अपनाना
12. **Insular** (adjective) – inward-looking, isolated, self-contained, inward, restricted संकीर्ण / सीमित
13. **Supervision** (noun) – oversight, management, monitoring, regulation, control निगरानी
14. **Evident** (adjective) – obvious, clear, apparent, noticeable, manifest स्पष्ट
15. **Correlate** (verb) – connect, associate, relate, link, match संबंधित होना
16. **Fiscal year** (noun) – financial year, accounting year, budget year, tax year, annual cycle वित्तीय वर्ष
17. **Scramble** (verb) – rush, hustle, scurry, compete, scuffle संघर्ष करना
18. **Re-alignment** (noun) – restructuring, reorganization, repositioning, adjustment, reshuffle पुनः-संरेखण
19. **Onerous** (adjective) – burdensome, heavy, troublesome, taxing, oppressive कष्टदायक
20. **Trans-shipment** (noun) – the activity of moving goods from one ship to another
21. **Threshold** (noun) – limit, boundary, point, edge, level सीमा

22. **Witness** (verb) – experience, observe, undergo, see, encounter देखना

23. **Durable** (adjective) – lasting, long-term, enduring, strong, persistent टिकाऊ

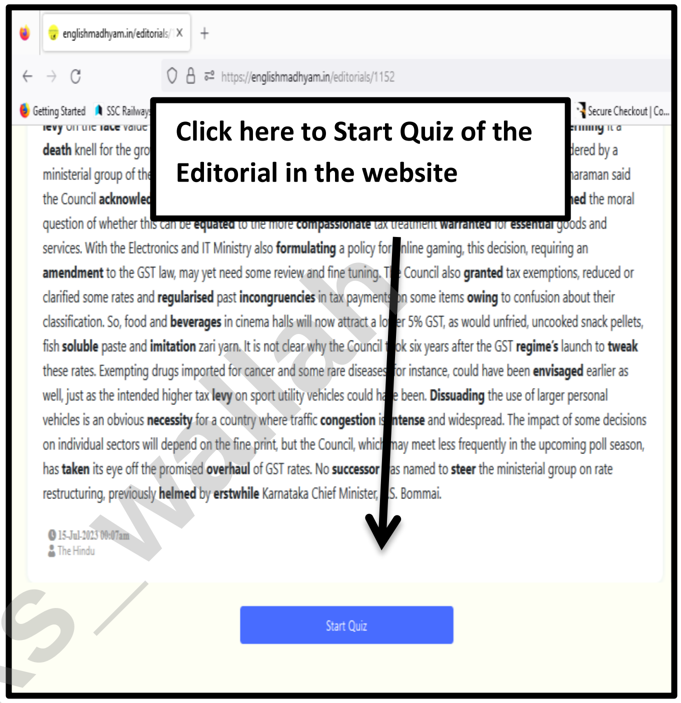
24. **Wrangle** (verb) – negotiate, bargain, argue, dispute, contend सौदेबाज़ी करना

25. **Concession** (noun) – compromise, allowance, discount, benefit, waiver रियायत

Summary of the Editorial

1. Record GST Collection – April's GST collections reached ₹2.37 lakh crore, the highest since GST's implementation in 2017.
2. Annual Growth – This marks a 12.6% year-on-year growth in gross collections and 9.1% rise in net revenue post-refunds.
3. Improved Compliance – Higher GST compliance was driven by timely refunds and better digital tax infrastructure.
4. Role of Fintech – India's fintech adoption (87%) facilitated MSMEs' entry into formal systems, enhancing tax reporting.
5. Support for MSMEs – Faster GST refunds are vital for small businesses with limited working capital.
6. Rising Import Revenues – GST revenues from imports increased by 20.8%, reflecting stronger trade activity.
7. Export Refund Surge – Refunds to exporters rose by 86%, supporting export-led growth.
8. PMI Signals Growth – HSBC India Manufacturing PMI climbed to 58.2 in April, the highest in 10 months.
9. Export Demand Spike – International orders surged to a 14-year high, driven by regions across Africa, Asia, Europe, and the Americas.
10. Tariff Pause Effect – The growth is partially due to businesses rushing orders before the U.S. tariff pause ends in July.
11. Supply Chain Shift – Global firms are increasing sourcing from India as U.S. tariffs on China tighten.
12. Apple's Shift – Apple announced plans to source most iPhones for the U.S. market from India.
13. Temporary Boost – These trends offer a short-term lift to India's manufacturing sector.
14. Underlying Weakness – Despite the boost, manufacturing growth slowed to a 4% low last fiscal year.
15. Need for Long-Term Strategy – Sustainable growth requires enhancing domestic consumption and negotiating better trade deals for Indian manufacturers.

Practice Exercise: Banking Pattern Based



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